

Madrid v. Ivanhoe Cambridge Inc. et al.

[Indexed as: Madrid v. Ivanhoe Cambridge Inc.]

101 O.R. (3d) 553

2010 ONSC 2235

Ontario Superior Court of Justice,
Lauwers J.
April 22, 2010

Civil procedure -- Parties -- Adding parties -- Defendant's insurance adjuster denying plaintiff's claim for slip and fall in defendant's washroom -- Plaintiff commencing action against defendant within [page554] limitation period -- Counsel for defendant advising plaintiff after expiry of limitation period that employee who ordinarily cleaned washroom had been replaced on day of fall by employee supplied by U Co. -- Plaintiff moving successfully for leave to add U Co. as party defendant -- Insurance adjuster's bare denial of liability not triggering duty on part of plaintiff to make further inquiries -- Plaintiff not failing to exercise due diligence and not precluded from relying on discoverability principle.

Limitations -- Discoverability -- Defendant's insurance adjuster denying plaintiff's claim for slip and fall in defendant's washroom -- Plaintiff commencing action against defendant within limitation period -- Counsel for defendant advising plaintiff after expiry of limitation period that employee who ordinarily cleaned washroom had been replaced on day of fall by employee supplied by U Co. -- Plaintiff moving successfully for leave to add U Co. as party defendant -- Insurance adjuster's bare denial of liability not triggering

duty on part of plaintiff to make further inquiries
 -- Plaintiff not failing to exercise due diligence and not
 precluded from relying on discoverability principle.

The plaintiff alleged that she was injured when she slipped and fell in the washroom of a building owned by the defendant in July 2007. She put the defendant on notice of a claim in August 2007, and in March 2008 was advised by the adjuster appointed by the defendant's insurer that the claim was denied. She commenced an action against the defendant within the two-year limitation period. In November 2009, counsel for the defendant advised the plaintiff for the first time that the employee who was responsible for maintaining the washroom on the day of the fall had called in sick and that a replacement employee had been dispatched by another company, U Co. The plaintiff brought a motion for leave to amend the statement of claim to add U Co. as a party defendant even though the limitation period had expired. U Co. opposed on the basis that a plaintiff seeking to rely on the discoverability principle codified in s. 5 of the Limitations Act, 2002, S.O. 2002, c. 24, Sch. B must demonstrate due diligence in determining the identity of the tortfeasor and that the plaintiff failed to do so.

Held, the motion should be granted.

In the absence of an unexpected or unusual trigger, there is little to be gained by imposing judicially a free-standing duty on plaintiffs to write pro forma letters to defendants inquiring about the identity of other possible defendants under the rubric of due diligence in s. 5 of the Limitations Act. If the defendant's insurance adjuster had advised the plaintiff that liability was being denied because another party was liable, then the plaintiff's duty to make further inquiries would have been triggered. However, a naked denial of liability should not trigger a duty on the plaintiff to make further inquiries.

Cases referred to

Wong v. Adler (2005), 76 O.R. (3d) 237, [2005] O.J. No. 1400, 17 C.P.C. (6th) 65, 28 M.V.R. (5th) 38 (Div. Ct.), affg (2004), 70 O.R. (3d) 460, [2004] O.J. No. 1575, [2004] O.T.C. 336, 2 C.P.C. (6th) 175, 5 M.V.R. (5th) 142, 130 A.C.W.S. (3d) 703 (S.C.J.); Zapfe v. Barnes (2003), 66 O.R. (3d) 397, [2003] O.J. No. 2856, 230 D.L.R. (4th) 347, 174 O.A.C. 211, 35 C.P.C. (5th) 317, 39 M.P.L.R. (3d) 161, 41 M.V.R. (4th) 171, 124 A.C.W.S. (3d) 262 (C.A.), consd [page555]

Other cases referred to

Barnes v. Sunlife Financial Services of Canada (2007), 88 O.R. (3d) 780, [2007] O.J. No. 5056, 162 A.C.W.S. (3d) 912 (S.C.J.); Burtch v. Barnes (Estate) (2006), 80 O.R. (3d) 365, [2006] O.J. No. 1621, 209 O.A.C. 219, 27 C.P.C. (6th) 199, 20 M.P.L.R. (4th) 160, 147 A.C.W.S. (3d) 581 (C.A.); Konwisarz v. William Osler Health Centre, [2010] O.J. No. 1442, 2010 ONSC 2118; Parlette v. Sokkia Inc., [2004] O.J. No. 4626, [2004] O.T.C. 995, 30 B.L.R. (4th) 106, 134 A.C.W.S. (3d) 988 (S.C.J.) [Leave to appeal refused [2005] O.J. No. 318, 194 O.A.C. 22, 136 A.C.W.S. (3d) 1006 (Div. Ct.)]; Peixeiro v. Haberman, [1997] 3 S.C.R. 549, [1997] S.C.J. No. 31, 151 D.L.R. (4th) 429, 217 N.R. 371, J.E. 97-1825, 103 O.A.C. 161, 46 C.C.L.I. (2d) 147, 12 C.P.C. (4th) 255, 30 M.V.R. (3d) 41, 74 A.C.W.S. (3d) 117; Wakelin v. Gourley, [2006] O.J. No. 1442, 145 A.C.W.S. (3d) 512 (Div. Ct.), affg (2005), 76 O.R. (3d) 272, [2005] O.J. No. 2746, [2005] O.T.C. 572, 19 C.P.C. (6th) 13, 140 A.C.W.S. (3d) 745 (S.C.J.); Wong v. Sherman, [1998] O.J. No. 1534, 60 O.T.C. 174, 78 A.C.W.S. (3d) 688 (Gen. Div.); Zurba v. Lakeridge Health Corp. (2010), 99 O.R. (3d) 596, [2010] O.J. No. 368, 2010 ONSC 318

Statutes referred to

Limitations Act, 2002, S.O. 2002, c. 24, Sch. B, ss. 5, 18

Occupiers' Liability Act, R.S.O. 1990, c. O.2, s. 6

Rules and regulations

Rules of Civil Procedure, R.R.O. 1990, Reg. 194, Rule 26

MOTION for leave to add a party defendant.

Michelle F. Jorge, for plaintiff.

A. Griese, for respondent Ivanhoe Cambridge Inc.

Michael W. Chadwick, for Unicco Facility Services/Compagnie De Services Aux Immeubles Unicco Canada.

[1] LAUWERS J.: -- The plaintiff alleges that on July 3, 2007, she slipped and fell and sustained injuries in a washroom in a building operated by Ivanhoe Cambridge Inc. ("Ivanhoe") and owned by Hudson's Bay Company. The two-year limitation period under the Limitations Act, 2002, S.O. 2002, c. 24, Sch. B expired on July 3, 2009.

[2] The plaintiff seeks leave under Rule 26 of the Rules of Civil Procedure, R.R.O. 1990, Reg. 194 to amend the Statement of Claim to add Unicco Facility Services Canada Company/Compagnie De Services Aux Immeubles Unicco Canada ("Unicco") as a party defendant even though the limitation period has expired. The affidavit of counsel for the plaintiff in support of the motion deposes that the plaintiff wrote to Ivanhoe herself on August 15, 2007, putting the firm on notice of a claim. On December 12, 2007, the plaintiff wrote to the adjuster appointed by the insurer for Ivanhoe inquiring about the progress of his investigation. On March 20, 2008, the adjuster advised counsel for the plaintiff that the claim was denied. The [page556] Statement of Claim was issued on June 5, 2009 and served on the defendants shortly thereafter. There are no Statements of Defence yet filed.

[3] Counsel for Ivanhoe surfaced on August 6, 2009. On November 9, 2009, he wrote to counsel for the plaintiff advising her that he had put Unicco on notice of a possible third-party claim. He also advised counsel for the first time that the specific Ivanhoe employee who was responsible for maintaining the washroom on the day of the plaintiff's fall had called in sick and that Unicco had dispatched an employee to carry out the maintenance of the washroom. Counsel for the plaintiff immediately advised counsel for Ivanhoe that a motion would be brought to add Unicco as a defendant.

[4] The plaintiff argues that the discoverability principle now codified in s. 5 of the Limitations Act, 2002 applies:

- 5(1) A claim is discovered on the earlier of,
- (a) the day on which the person with the claim first knew,
 - (i) that the injury, loss or damage had occurred,
 - (ii) that the injury, loss or damage was caused by or contributed to by an act or omission,
 - (iii) that the act or omission was that of the person against whom the claim is made, and
 - (iv) that, having regard to the nature of the injury, loss or damage, a proceeding would be an appropriate means to seek to remedy it; and
 - (b) the day on which a reasonable person with the abilities and in the circumstances of the person with the claim first ought to have known of the matters referred to in clause (a).

[5] The plaintiff submits that her claim against Unicco was discovered when she found out about Unicco's involvement on or about November 9, 2009 and that the limitation period of two years accordingly runs from that date. Leave to amend the Statement of Claim to add Unicco should therefore be granted.

[6] Unicco opposes on the basis that a plaintiff seeking to rely on the discoverability principle must demonstrate due diligence in determining the identity of the tortfeasor. Ms. Madrid cannot do so in these circumstances, argues Unicco, because she made no effort before the expiry of the limitation period to determine whether any party other than Ivanhoe might be liable by making simple inquiries of Ivanhoe or Hudson's Bay Company. There is no "list of attempts" made by the plaintiff's solicitor to obtain information to substantiate the assertion that the party was [page557] reasonably diligent: Zapfe v. Barnes (2003), 66 O.R. (3d) 397, [2003] O.J. No. 2856 (C.A.), at para. 35. Unicco also relies on Wong v. Adler (2004), 70 O.R. (3d) 460, [2004] O.J. No. 1575 (S.C.J.) (per Master Dash), at para. 45, [See Note 1 below] which states that:

Therefore, as long as the plaintiff puts in evidence as to

steps taken to ascertain the identity of the tortfeasors and gives a reasonable explanation on proper evidence as to why such information was not obtainable with due diligence then that will be the end of the enquiry and the defendants will normally be added with leave to plead a limitations defence. This is not a high threshold. If the plaintiff fails to provide any reasonable explanation that could on a generous reading amount to due diligence the motion will be denied. If the plaintiff puts in evidence of steps taken but the proposed defendant also provides evidence of further reasonable steps that the plaintiff could have taken to ascertain the information within the limitation period then the court will have to consider whether the plaintiff's explanation clearly does not amount to due diligence. If there is any doubt whether the steps taken by the plaintiff could not amount to due diligence then this is an issue that must be resolved on a full evidentiary record at trial or on summary judgment.

[7] Mr. Chadwick submits for Unicco that all that is required of the plaintiff is a simple inquiry, but that was not done: *Wakelin v. Gourley* (2005), 76 O.R. (3d) 272, [2005] O.J. No. 2746 (S.C.J.) (per Master Dash), at para. 26. [See Note 2 below] In that case, a desultory effort to obtain police reports was found to be insufficient to show due diligence.

[8] He relies on the case of *Barnes v. Sunlife Financial Services of Canada* (2007), 88 O.R. (3d) 780, [2007] O.J. No. 5056 (S.C.J.), where Gordon J. found that a request by the plaintiff to examine the malfunctioning elevator, to get disclosure of the maintenance file and to get disclosure of the name of the company that maintains the elevators was sufficient to demonstrate due diligence. The request for information was rebuffed. Following Master Dash in *Wakelin v. Gourley*, supra, Gordon J. found, at para. 40, that "the evidentiary burden at the pleadings amendment stage is not a high one". In response to a question from the court, Mr. Chadwick submitted that due diligence does not go so far as to require a plaintiff whose information requests are rebuffed by a defendant to follow up with a motion, but gave no reason for drawing the line precisely there. [page558]

[9] The plaintiff argues that this case is analogous to *Parlette v. Sokkia Inc.*, [2004] O.J. No. 4626, [2004] O.T.C. 995 (S.C.J.) (per Master Kelly), affd on appeal, [See Note 3 below] where Kozak J. noted, at para. 25:

Unlike the situation in *Wong* where the plaintiff actually had the name of the tortfeasor within a month of the accident, the evidentiary record before Master Kelly was that the plaintiffs did not have actual knowledge of Terex Corporation as being a tortfeasor at the time of the commencement of the action or within the six-year limitation period. Master Kelly was satisfied on the basis of the evidentiary record that not only did the plaintiffs not know of the involvement of Terex Corporation in the herein claim because of intricate and puzzling corporate dealings (see paragraph 12 of his reasons as well as the affidavit of Norman Hargreaves), but that one might reasonably wonder whether, even with admirable diligence, plaintiffs' counsel could have discovered Terex Corporation's involvement within the first eight months following the accident.
(Emphasis added)

[10] The analogy that the plaintiff seeks to draw is that the fact of employee substitution on this one day is peculiar, unique, statistically remote and probably came as a surprise even to counsel for Ivanhoe. Who would reasonably suspect that the occupier's worker would call in sick and be replaced by someone from another company?

[11] Ivanhoe intends to join Unicco as a third party and can do so under s. 18 of the Limitations Act, 2002 up to two years after the day that Ivanhoe was served with the Statement of Claim. It is possible that a third party could be added up to four years after the event giving rise to the cause of action, quite apart from issues of discoverability. So Unicco will be a party to the lawsuit in any event.

[12] But this does not render the motion academic; under s. 6 of the Occupiers' Liability Act, R.S.O. 1990, c. 0.2, an occupier like Ivanhoe can potentially escape liability for the

negligence of an independent contractor like Unicco, leaving the plaintiff without a remedy. If Ivanhoe is protected by s. 6 of the Occupiers' Liability Act, then it has no liability to the plaintiff and there is no claim over by it against its own third party, Unicco. [See Note 4 below] Hence Unicco's interest in opposing the motion. [page559]

[13] The dominant policy thrust of the system of justice is that cases should be heard on the merits. Another policy thrust, found in the Limitations Act, 2002, is to encourage a plaintiff to commence an action as soon as possible. But a third and tempering policy thrust is found in s. 5 of the Limitations Act, 2002, which codifies discoverability. As the Supreme Court of Canada noted in *Peixeiro v. Haberman*, [1997] 3 S.C.R. 549, [1997] S.C.J. No. 31, at para. 36:

Since this Court's decisions in *Kamloops (City of) v. Nielsen*, [1984] 2 S.C.R. 2, and *Central Trust Co. v. Rafuse*, [1986] 2 S.C.R. 147, at p. 224, discoverability is a general rule applied to avoid the injustice of precluding an action before the person is able to raise it. See *Sparham-Souter v. Town & Country Developments (Essex) Ltd.*, [1976] 1 Q.B. 858 (C.A.), at p. 868 per Lord Denning, M.R., citing *Cartledge v. E. Jopling & Sons Ltd.*, *supra*:

It appears to me to be unreasonable and unjustifiable in principle that a cause of action should be held to accrue before it is possible to discover any injury and, therefore, before it is possible to raise any action. These policy thrusts are to be reasonably balanced.

[14] It is not unusual for possible defendants to emerge as a result of information received during the opposite party's document production or during the discovery process in an action. In the context of motor vehicle accidents, examinations for discovery are often delayed to permit injuries to ripen and perhaps resolve so later discovery of additional possible defendants is not so unusual: see, for example, *Wong v. Sherman*, [1998] O.J. No. 1534, 60 O.T.C. 174 (Gen. Div.); *Burtch v. Barnes (Estate)* (2006), 80 O.R. (3d) 365, [2006] O.J. No. 1621, 20 M.P.L.R. (4th) 160 (C.A.). See, also, the medical

malpractice cases cited in *Zurba v. Lakeridge Health Corp.* (2010), 99 O.R. (3d) 596, [2010] O.J. No. 368, 2010 ONSC 318 and in *Konwisarz v. William Osler Health Centre*, [2010] O.J. No. 1442, 2010 ONSC 2118, where the need for an expert medical opinion often precedes discoverability.

[15] In the absence of an unexpected or unusual trigger, there is little to be gained by imposing judicially a free-standing duty on plaintiffs to write pro forma letters to defendants inquiring about the identity of other possible defendants under the rubric of due diligence in s. 5 of the Limitations Act, 2002. It would not be in the interests of justice to encourage an overly muscular development of the concept of pre-discovery due diligence. The [page560] burden of responding would immediately shift to defendants and add unproductive costs. The parties should not have to conduct a pre-discovery form of discovery.

[16] The effect of a trigger on the duty to inquire is acknowledged in the cases. In *Wong v. Adler*, supra, Master Dash declined to allow the addition of the third parties as defendants to the action more than two years after the date of the motor vehicle accident and more than two years from the date that the plaintiff obtained the information from the named defendant's insurer, which should have worked as a trigger. In *Zapfe v. Barnes*, supra, the proposed defendants argued that the third party claims by the already-named defendant should have triggered due diligence activities on the plaintiff's part; the Court of Appeal allowed the addition of the third parties as defendants but left the determination of the proper application of the limitation period to the trial.

[17] If Ivanhoe's insurance adjuster had advised the plaintiff that liability was being denied because another party was liable, then the plaintiff's duty to make further inquiries would have been triggered. But, on the actual facts of this case, a naked denial of liability should not trigger a duty on the plaintiff to make further inquiries. I therefore grant leave to the plaintiff to amend the Statement of Claim to add Unicco as a defendant, but reluctantly and because I feel bound by the Court of Appeal's decision in *Zapfe v. Barnes*, supra, I

do so without prejudice to the right of Unicco to plead any defence open to it, including a limitation defence.

[18] The plaintiff has been successful and is entitled to costs. If the parties cannot agree, the plaintiff will provide costs submissions and a bill of costs to me within ten days of the date of this decision. Unicco may respond within an additional ten days. Counsel for Ivanhoe was present in court but made no submissions, and I grant no costs to or against Ivanhoe.

Motion granted.

Notes

Note 1: Affd (2005), 76 O.R. (3d) 237, [2005] O.J. No. 1400 (Div. Ct.).

Note 2: Affd [2006] O.J. No. 1442, 145 A.C.W.S. (3d) 512 (Div. Ct.).

Note 3: Leave to appeal refused [2005] O.J. No. 318, 194 O.A.C. 22 (Div. Ct.).

Note 4: Section 6 provides:

6(1) Where damage to any person or his or her property is caused by the negligence of an independent contractor employed by the occupier, the occupier is not on that account liable if in all the circumstances the occupier had acted reasonably in entrusting the work to the independent contractor, if the occupier had taken such steps, if any, as the occupier reasonably ought in order to be satisfied that the contractor was competent and that the work had been properly done, and if it was reasonable that the work performed by the independent contractor should have been undertaken.
